

CHAPTER 1: INTRODUCTION TO ACCOUNTING AND BUSINESS

1.1 Definition of Accounting

What is accounting?

- ➔ **Accounting** consists of three basic activities -i.e. it
 - ◆ **Identifies**
 - ◆ **Records** and
 - ◆ **Communicates**the economic events of an organization to interested users.
- ➔ Let's take a closer look at these three activities.
 - a) Company identifies the **economic events relevant to its business**.
- ➔ **Examples of economic events** are :
 - ◆ Providing of telephone services
 - ◆ The sale of goods and
 - ◆ Payment of wages etc
- b) Once a company identifies economic events, it **records** those events in order to provide a history of its financial activities.
- ➔ Recording consists of:
 - ◆ Keeping a **systematic, chronological diary of events, measured in dollars and cents**.
 - ◆ In recording, any company also classifies and summarizes economic events.
- ➔ Finally, a company **communicates** the collected information to interested users by means of **accounting reports**.
- ➔ The most common of these reports are called **financial statements**.
- ➔ To make the reported financial information meaningful, the company
 - ◆ Reports the recorded data in a standardized way.

1.2 Nature of a Business

- ➔ A **business** is an organization in which basic resources (inputs), such as materials and labor are assembled and processed to provide **goods or services** (outputs) to customers.
 - ◆ **E.g.** Businesses come in all sizes, from a local coffee house to a **car dealer**, which sells several billion dollars.
- ➔ A business's customers are
 - ◆ Individuals or
 - ◆ Other businesses that purchase goods or services in exchange for money or other items of value.
- ➔ The objective of most businesses is to maximize profits.
- ➔ Some businesses operate with an objective other than to maximize profits.
- ➔ The objective of such nonprofit businesses is to provide some benefit to society, such as
 - ◆ Medical research or conservation of natural resources.
 - ◆ In other cases, governmental units such as cities operate water works or sewage treatment plants on a nonprofit basis.
- a) **Types of Businesses**
 - ➔ There are three different types of businesses that are operated for profit:
 - ◆ **Manufacturing**- change basic inputs into products that are sold to individual customers.

- ♦ **Merchandising**- sells products to customers. However, rather than making the products, they purchase them from other businesses (such as manufacturers).
- ♦ **Service businesses**- provide services rather than products to customers.
- ➔ **NB:** We will focus in this text on businesses operating to earn a profit. Keep in mind, though, that many of the same concepts and principles apply to nonprofit businesses as well.
- b) Types of Business Organizations**
- ➔ The common forms of business organization are:
 - ♦ **Proprietorship**- is owned by one individual.
 - ♦ **Partnership**- is owned by two or more individuals.
 - ♦ **Corporation, or Limited Liability Corporation**- is organized under state or federal statutes as a separate legal taxable entity.

1.3 The Role of Accounting in Business

What is the role of accounting in business?

- ➔ Accounting provides information :
 - ♦ For managers to use in operating the business and
 - ♦ To other users in assessing the economic performance and condition of the business.
- ➔ Thus, **accounting** can be defined as an information system that provides reports to users about the economic activities and condition of a business.
- ➔ You may think of accounting as the “language of business.”
- ➔ This is because accounting is the means by which businesses’ financial information is communicated to users.
- ➔ The process by which accounting provides information to users is as follows:
 - ♦ Identify users.
 - ♦ Assess users’ information needs.
 - ♦ Design the accounting information system to meet users’ needs.
 - ♦ Record economic data about business activities and events.
 - ♦ Prepare accounting reports for users.
- ➔ users of accounting information can be divided into two groups:
 - A) Internal users and
 - B) External users.
- A) Internal users of accounting information include:**
 - ↪ **Managers and employees.**
 - ➔ These users are directly involved in **managing and operating the business.**
 - ➔ The area of accounting that provides internal users with information is:
 - ↪ **Managerial accounting or management accounting.**
 - ➔ The objective of managerial accounting is to provide relevant and timely information for managers’ and employees’ decision-making needs.
 - ↪ Eg. Information about customers, prices, and plans to expand the business.
- B) External users of accounting information include**
 - ↪ **Customers, creditors, and the government.**
 - ➔ These users are not directly involved in managing and operating the business.
 - ➔ The area of accounting that provides external users with information is:
 - ↪ **Financial accounting.**
 - ➔ The objective of financial accounting is to provide relevant and timely information for the decision-making needs of users outside of the business.

- ↻ Eg. Financial reports on the operations and condition of the business are useful for banks and other creditors in deciding whether to lend money to the business.

- ➔ **General-purpose financial statements** are one type of financial accounting report that is distributed to external users.

1.4 Profession of Accounting

- ➔ Accountants engage in either private accounting or public accounting.
- ➔ Accountants employed by a **business firm or a not-for-profit organization** are said to be engaged in **private accounting**.
- ➔ Accountants and their staff who provide services on a fee basis are said to be employed in **public accounting**.

1.4.1 Private Accounting.

- ➔ An accountant may be an employee of a business enterprise.
- ➔ In private accounting, you would be involved in one of the following activities:
 - ↻ **Cost Accounting**- determining the cost of producing specific products.
 - ↻ **Budgeting**- assisting management in quantifying goals concerning revenues, costs of goods sold and operating expenses.
 - ↻ **General Accounting**- recording daily transactions and preparing financial statements and related information.
 - ↻ **Accounting information systems**- designing both manual and computerized data processing systems.
 - ↻ **Tax Accounting**- preparing tax returns (-forms to be filled by a company and returned to a taxing authority) and engaging in tax planning for the company.
 - ↻ **Internal Auditing**-reviewing a company's operations to determine compliance with management policies and evaluating efficiency of operations.

1.4.2 Public Accounting.

- ➔ In Public Accounting you would offer expert service to the general public in much the same way that a doctor serves patients and a lawyer serves clients.
- ➔ A major portion of public accounting practice is involved with Auditing.
- ➔ In this area, a certified Public Accountant (CPA) examines the financial statements of companies and expresses opinion as to the fairness of presentation.
- ➔ When presentation is fair, users consider the statements to be reliable.
- ➔ Management consulting is another area of public accounting.

- ➔ That is, the accountant consults the management about the growth and development of the business enterprise.

1.5 Accounting Principles and Practice

1.5.1 Accounting standard

- ➔ The accounting profession has developed standards that are generally accepted and universally practiced.
- ➔ This common set of standards is called **generally accepted accounting principles (GAAP)**.
 - ⌘ These standards indicate how to report economic events.
- ➔ The primary accounting standard-setting body in the United States is the **Financial Accounting Standards Board (FASB)**.
- ➔ The **Securities and Exchange Commission (SEC)** is the agency of the U.S. government that oversees U.S. financial markets and accounting standard-setting bodies.
- ➔ Many countries outside of the United States have adopted the accounting standards issued by the **International Accounting Standards Board (IASB)**.
 - ⌘ These standards are called International Financial Reporting Standards (IFRS).
- ➔ As markets become more global, it is often desirable to compare the result of companies from different countries that report using different accounting standards.
- ➔ In order to increase comparability, in recent years the two standard-setting bodies have made efforts to reduce the differences between U.S. GAAP and IFRS.
 - ⌘ This process is referred to as **convergence**.
- ➔ **Most agree that there is a need for one set of international accounting standards. Here is why:**
 - ⌘ **Multinational corporations.** Today's companies view the entire world as their market.
 - ⌘ **Mergers and acquisitions.**
 - ⌘ **Information technology.**
 - ⌘ **Financial markets.** Financial markets are of international significance today.

1.6 The Major Differences between GAAP and IFRS

- ➔ GAAP is more detailed i.e.
 - ⌘ It is more “**rules-based**.”

- ➔ IFRS tends to be simpler in its accounting and disclosure requirements i.e.

- ◆ It is more “**principles-based**.”

A principle based approach

- ↪ Represents a contrast to a rules-based approach
- ↪ Attempts to limit additional accounting guidance
- ↪ Is designed to encourage professional judgment and discourage over-reliance on detailed rules

1.6.1 Measurement Principles

- Cost Principle or Historical Cost Principle** - dictates that companies record assets at their cost.
- Fair Value Principle** – states that assets and liabilities should be reported at fair value (the price received to sell an asset or settle a liability).

1.6.2 Assumptions

- Monetary Unit** – include in the accounting records only transaction data that can be expressed in money terms.
- Economic Entity** – requires that activities of the entity be kept separate and distinct from the activities of its owner and all other economic entities.

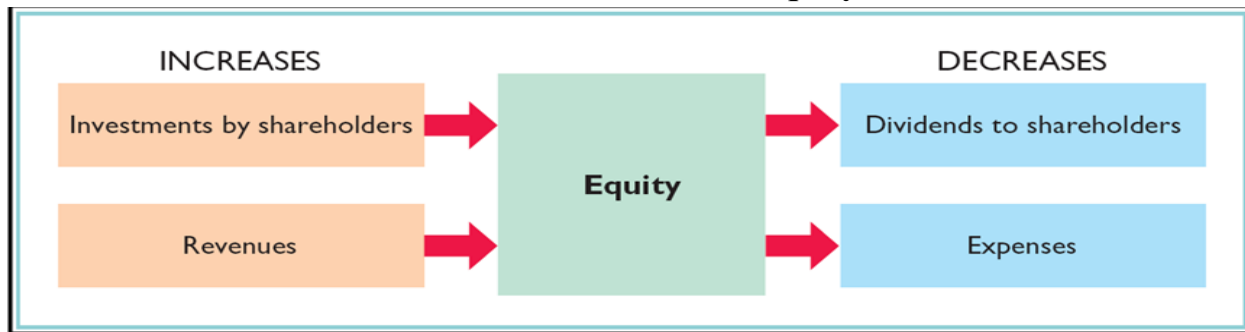
1.7 Accounting Equation and Elements of the Equation

1) The Basic Accounting Equation

$$\boxed{\text{Assets}} = \boxed{\text{Liabilities}} + \boxed{\text{Equity}}$$

- ➔ Provides the **underlying framework** for recording and summarizing economic events.
- ➔ Applies to all economic entities regardless of size.
- ➔ **Assets**
 - ↪ A resource controlled by the entity as a result of past events and from which future economic benefits are expected to flow to the entity.
Eg. Cash, Inventory, Equipment, etc
- ➔ **Liabilities**
 - ↪ A present obligation of the entity arising from past events, the settlement of which is expected to result in an outflow from the entity of resources embodying economic benefits.
Eg. Accounts payable, Notes payable, etc.
- ➔ **Equity**
 - ↪ A residual interest in the assets of the entity after deducting all its liabilities.

1.7.1 Effects of Transactions on Shareholders' Equity



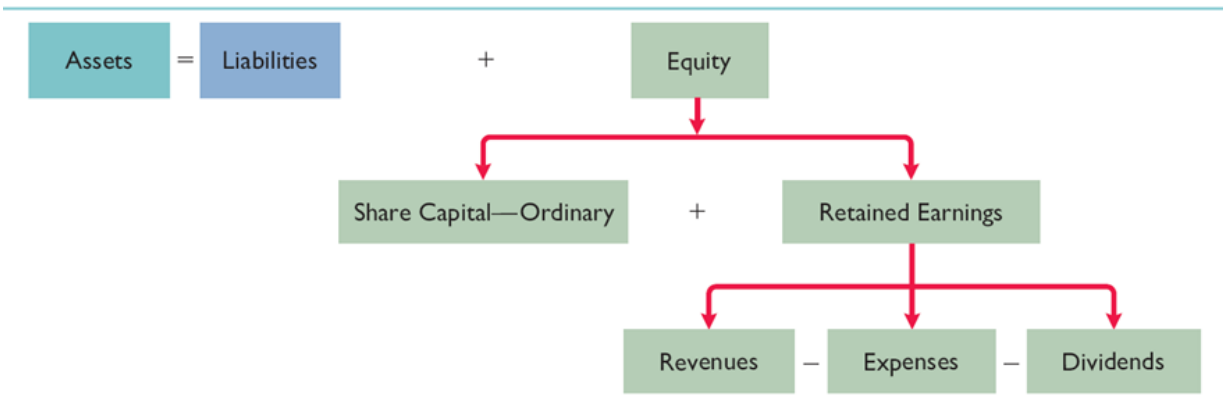
➤ Income

- ~ Increases in economic benefits that result in increases in equity (other than those related to contributions from shareholders).
- ~ Income includes both revenues (resulting from ordinary activities) and gains.
- ~ Eg. Generally results from selling merchandise, performing services, renting property, and lending money.

➤ Expenses

- ~ Decreases in economic benefits that result in decreases in equity (other than those related to distributions to shareholders).
- ~ Expenses include losses that are not the result of ordinary activities.
- ~ E.g Common expenses are salaries expense, rent expense, interest expense, property tax expense, etc.

Expanded accounting equation



1.8 Business Transactions and the Accounting Equation

- A business transaction is **an economic event or condition** that directly changes an entity's financial condition or directly affects its results of operations.
 - ~ May be external or internal.
 - ~ Not all activities represent transactions.
 - ~ Each transaction has a dual effect on the accounting equation.

Transaction Analysis

The following examples are business transactions for Ray Neal computer programming business called Softbyte during its first month of operations On September 1, 2012.

- a) Softbyte invests \$15,000 cash in the business.
- b) Softbyte purchases computer equipment for \$7,000 cash.
- c) Softbyte purchases for \$1,600 from Acme Supply Company computer paper and other supplies expected to last several months. Acme agrees to allow Softbyte to pay this bill in October.
- d) Softbyte receives \$1,200 cash from customers for programming services it has provided. This transaction represents Softbyte's principal revenue-producing activity
- e) Softbyte receives a bill for \$250 from the Daily News for advertising but postpones payment until a later date.
- f) Softbyte provides \$3,500 of programming services for customers. The company receives cash of \$1,500 from customers, and it bills the balance of \$2,000 on account.
- g) Softbyte pays the following expenses in cash for September: store rent \$600, salaries and wages of employees \$900, and utilities \$200.
- h) Softbyte pays its \$250 Daily News bill in cash.
- i) Softbyte receives \$600 in cash from customers who had been billed for services [in Transaction (6)].
- j) Ray Neal withdraws \$1,300 in cash from the business for his personal use.

Required

- a) Show the effect of transactions on the business equations.

Solution

Assets					=	Liabilities	+	Owner's Equity									
Cash	+	Accounts Receivable	+	Supplies	+	Equipment	=	Accounts Payable	+	Owner's Capital	-	Owner's Drawings	+	Rev.	-	Exp.	
(1) +\$15,000										+ \$15,000						Initial inv.	
(2) -7,000						+ \$7,000											
(3)				+ \$1,600				+ \$1,600									
(4) +1,200														+ \$1,200		Ser. Rev.	
(5)								+250							- \$250	Adv. Exp.	
(6) +1,500		+ \$2,000												+3,500		Ser. Rev.	
(7) -600															-600	Rent Exp.	
-900															-900	Sal./Wages Exp.	
-200															-200	Utilities Exp.	
(8) -250								-250									
(9) +600		-600															
(10) -1,300												- \$1,300				Drawings	
<u>\$ 8,050</u>	+	<u>\$1,400</u>	+	<u>\$1,600</u>	+	<u>\$7,000</u>	=	<u>\$1,600</u>	+	<u>\$15,000</u>	-	<u>\$1,300</u>	+	<u>\$4,700</u>	-	<u>\$1,950</u>	
<u>\$18,050</u>								<u>\$18,050</u>									

➡ From the above you should understand some significant facts, that is:

1. Each transaction is analyzed in terms of its effect on:
 - (a) The three components of the basic accounting equation.
 - (b) Specific items within each component.

- The two sides of the equation must always be equal.

1.9 Financial Statements

- The primary types of financial statements required by GAAP and IFRS are the same.
 - In practice, some format differences do exist in presentations commonly employed by GAAP companies compared to IFRS companies.
 - Companies prepare four financial statements from the summarized accounting data:
- 1) **An income statement**: presents the revenues and expenses and resulting net income or net loss for a specific period of time.
 - 2) **An owner's equity statement**: summarizes the changes in owner's equity for a specific period of time.
 - 3) **A balance sheet**: reports the assets, liabilities, and owner's equity at a specific date.
 - 4) **A statement of cash flows**: summarizes information about the cash inflows (receipts) and outflows (payments) for a specific period of time.
- These statements provide relevant financial data for internal and external users.
 - The following are the financial statements of Softbyte.

Softbyte Income Statement For the Month Ended September 30, 2012			
Revenues			
Service revenue			\$ 4,700
Expenses			
Salaries and wages expense	\$900		
Rent expense	600		
Advertising expense	250		
Utilities expense	200		
Total expenses		1,950	
Net income			\$ 2,750
Softbyte Owner's Equity Statement For the Month Ended September 30, 2012			
Owner's capital, September 1			\$ -0-
Add: Investments	\$15,000		
Net income	2,750	17,750	
		17,750	
Less: Drawings		1,300	
Owner's capital, September 30			\$16,450

Softbyte Balance Sheet September 30, 2012		
<u>Assets</u>		
Cash		\$ 8,050
Accounts receivable		1,400
Supplies		1,600
Equipment		7,000
Total assets		<u>\$18,050</u>
<u>Liabilities and Owner's Equity</u>		
Liabilities		
Accounts payable		\$ 1,600
Owner's equity		
Owner's capital		16,450
Total liabilities and owner's equity		<u>\$18,050</u>
Softbyte Statement of Cash Flows For the Month Ended September 30, 2012		
Cash flows from operating activities		
Cash receipts from revenues		\$ 3,300
Cash payments for expenses		(1,950)
Net cash provided by operating activities		1,350
Cash flows from investing activities		
Purchase of equipment		(7,000)
Cash flows from financing activities		
Investments by owner	\$15,000)	
Drawings by owner	(1,300)	13,700
Net increase in cash		8,050
Cash at the beginning of the period		0
Cash at the end of the period		<u>\$ 8,050</u>